

Products for Customers

The second approach is a
**‘products for
customers’**
approach.

It is relatively more efficient to study, predict and identify the needs of customers. Then one can design products that satisfy the pains and gains of the customers.



Even companies that initially use the first approach eventually move to the second approach, which is designing products for their existing customers. For instance, many third-party logistics companies started providing financing solutions to their clients when they saw that their clients were looking for financing solutions for their inventory.

Whether this is the approach that companies begin with or eventually arrive at, this is the approach that is used for our analysis. To understand the value proposition of any industry or firm, each customer segment should be identified, and then should be understood in detail.